



monsoon is moderately good, these Budget projections are fine. If the monsoon is very adverse, then the impact will be on a number of sectors. It could lead to some kind of relief expenditure, or it could lead to food inflation, which may lead to various other economic measures. But as of now, it does not seem to be a very likely scenario. Whether it's a moderately good or a good monsoon, these estimates will still be holding good.

Q: What are your thoughts on the rural economy?

A: We have just announced a huge expansion in the Pradhan Mantri Awaas Yojana–Grameen, which will lead to an additional 20 million houses to be built in rural areas. We have continued the Budget outlays for the PM Gram Sadak Yojana, [and] we have enhanced the Budget provision for the Mahatma Gandhi National Rural Employment Guarantee Scheme. For all these government programmes, the expenditure is increasing or being maintained. That is from the government side.

In terms of private consumption expenditure, I think that the resumption of economic activity across the country post-Covid and the resumption of labour-intensive sectors in various states meant that the income of migrant labour is also going up and their remittances back to their home states are increasing. I think we will see decent growth in rural consumption in the coming year. One challenge that we are facing is that the rural consumption mix is changing. I sometimes get this question—the quantity of fast-moving consumer goods is not growing very fast and does that mean rural consumption is not growing? Initially, we had a shock through Covid-19, where rural income was negatively impacted, and then it rebounded. When you come back from a negative shock, then a lot of this consumption increases. But when you have reached a particular level of normalcy, the income elasticity of demand for things like essentials, whether it is food, soaps, shampoos, or fast-moving [consumer] goods is probably not very high. I mean, you can't take more baths because your income has gone up. To infer that rural income is not rising because fast-moving consumer goods have not moved fast may not be a valid inference. We have to also look at many forms of new consumption that are going on in rural areas. I believe a lot of gaming products are being consumed in large quantities in smaller cities and rural areas. But these don't necessarily enter our regular anecdotal evidence or statistics. So, it's a complex picture. I think we will see healthy rural consumption growth, if properly measured in the coming year.